

ORIGINAL

(S E R V E D)
(September 9, 2002)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

September 9, 2002

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

**SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.**

BRIEFING SCHEDULE FOR PHASE II

Pursuant to the procedural schedule adopted for this phase II of this proceeding, complainants Government of the Territory of Guam, et al. ("GovGuam") and respondents Sea-Land Service, Inc. ("Sea-Land") and American President Lines, Ltd. ("APL") have conferred and have agreed to waive further evidentiary hearings and further discovery and to proceed directly to briefing. The parties have completed their evidentiary filings.

The evidentiary record that is available to the parties in drafting their respective proposed findings of fact and conclusions of law in the current remand phase of the proceeding consists of the following:

A. Complainants

The record includes the following evidence submitted by complainants in the remand phase of the proceeding.

- (1) Affidavit of Dr. Ernest Nadel submitted April 2, 2001
- (2) Nadel Table 1-APL, Worksheet 1
- (3) Nadel Table 1-APL, Worksheet 2
- (4) Nadel Table 1-APL, Worksheet 3
- (5) Nadel Table 1-S/L
- (6) Nadel Table 2
- (7) Nadel Table 3
- (8) Documents Bates Numbers 200101-203157 relating to shipments via APL
- (9) Documents Bates Numbers 203158-204456 relating to shipments via Sea-Land.

In addition, complainants may rely on evidence in the pre-existing evidentiary record drafting proposed findings of fact and conclusions of law. It is not possible at this time for complainants to anticipate the pre-existing record evidence on which they will rely.

B. Respondents

The record includes the following evidence submitted by respondents in the remand phase of the proceeding.

1. Affidavit of Dr. Andrew Joskow submitted July 29, 2002
2. Joskow Exhibits 1 through 5

3. Respondents' Exhibits R-02-1 through R-02-21

In addition, as stated in Respondents' Evidentiary Submission on Reparations submitted July 29, 2002 (at note 1), respondents intend to rely on evidence in the pre-existing evidentiary record in drafting proposed findings of fact and conclusions of law relating to complainants' position that trade-wide "excess" and "allowable" revenue figures should be used as the basis for determining reparations for individual shipments. While it is not possible at this time for respondents to anticipate all pre-existing record evidence on which they will rely, it includes, *inter alia*, the following (as indicated by reference in respondents' July 29, 2002 submission):

1. Written Direct Testimony of Dr. A. Lawrence Kolbe, Ch. 2, 3 & 4
2. Written Rebuttal Testimony of Dr. Kolbe
3. Written Surrebuttal Testimony of Dr. Kolbe
4. Written Direct Testimony of Mr. Michael Nelson
5. Written Rebuttal Testimony of Mr. Thomas Morris
6. Written Surrebuttal Testimony of Mr. Thomas Morris
7. Written Direct Testimony of Dr. Ernest Nadel
8. Oral Testimony of the Above-Named Witnesses

The parties have been unable to reach agreement on the amount of time they will require to prepare and file appropriate briefs (including proposed findings of fact) and reply briefs. Thus the parties seek entry of an appropriate order establishing a briefing schedule to govern Phase II of this proceeding.

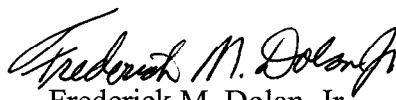
GovGuam proposed that concurrent opening briefs should be filed on September 30, 2002, with concurrent reply briefs on October 28, 2002. GovGuam submits that the issues are neither so extraordinary nor so complex as to justify the amount of time sought by respondents. Respondents propose 75 days for concurrent opening briefs and 45 days for concurrent reply briefs.

Respondents state that this is the first proceeding in which the Commission has permitted individual shippers to attempt to apply general revenue criteria found in the Shipping Act, 1933, as amended, in a complaint proceeding that seeks reparations of freight monies paid for individual commodity movements, and that the question of whether findings concerning the lawfulness of general revenues of the carriers can have any utility in determining such reparations has never been addressed in prior Commission jurisprudence. Respondents emphasize the novelty and complexity of the issues and the submission of new economic expert testimony from witnesses on both sides. Respondents believe that the markedly shorter briefing schedule sought by GovGuam ignores the difficulty of the issues the parties will be required to brief and would, given the lack of previous guidance on this issue in FMC jurisprudence, deprive respondents of an adequate opportunity to brief their case.¹ Respondents further point out that Phase II of this proceeding has lasted for several years and has been marked by significant extensions of the schedule to accommodate GovGuam; that GovGuam required 190 days to produce its list of bills of lading for shipments on which complainants are claiming reparations and 169 days to provide an initial response to the carriers' discovery requests; and that to permit 120 days to brief the substance of GovGuam's claims for monetary reparations is well within these time frames. Respondents further emphasize that the more difficult element of preparing useful briefs for decision will be the opening briefs and that substantially more time should be allowed for opening briefs than for replies.

¹Respondents point out that the Commission recently served an order requiring APL counsel to file a brief in another major proceeding on September 23, 2002.

Discussion and Conclusions

It is well established that the quality of Initial Decisions is greatly enhanced by the thoroughness, accuracy and degree of skill employed in the preparation of briefs and reply briefs submitted by the parties. As a concomitant result, careful and complete Initial Decisions can in addition dispose of some tangential issues allowing the parties and the final arbiter to concentrate more fully on the ultimate issues in the proceeding. To restrict unreasonably the amount of time allowed for briefs may result in inferior products and might cause further delay ultimately. In the circumstances and measuring the need to reach a final decision in this proceeding as soon as possible by the size of the record and the length of time it has taken to compile it, it is determined that concurrent initial briefs should be filed on November 5, 2002, and concurrent reply briefs should be filed on December 6, 2002. These dates are contingent on the approval by the Commission of a request for an extension of time for service of an Initial Decision, now scheduled for September 30, 2002.


Frederick M. Dolan, Jr.
Administrative Law Judge